

1.2 Return Expectations

Profit Making

25-30% of Portfolio

Return Capital as it is

30-35% of Portfolio

Loss Making

30-35% of Portfolio

Out of 20 companies in a portfolio, the top 4-5 will be profit generators. Allow the winners to grow consistently as they will offset the losses and boost the overall returns in our portfolio.

Always think about the portfolio's allocation to different stocks and sectors.

If the performing companies receive 30-40% of portfolio allocation, it will be healthy returns for us. However, if the same companies have an allocation of 10-15% in portfolio it will not generate meaningful results for us. So, we need to keep in mind - allocation.

As beginners, retail investors expect that all their investments should generate profits. However, it will be inappropriate to have such return expectations right from all investments. This does not happen even for the most sophisticated investors.

We will have a successful investment journey, even if 4 out of 10 investments perform well with time.

NIFTY over the last 10 years has given a return of 17%.

With a diversified portfolio, at best we can hope to beat it by 1-2%

Anyone who expects to double their money in a year, will not survive in stock market long. The reason is, economics does not support it. You will depend on compounding to make really meaningful returns. And, compounding takes time.

